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Inside the World Food Programme's new impact investment initiative

World Food Invest aims to tackle food security in Africa by investing in small agribusinesses. How will it work?

By **Rebecca L. Root** // 22 April 2026



Photo by: IMAGO via Reuters Connect

The [World Food Programme](#) is spearheading a new impact investment initiative designed to funnel more money into small and medium-sized African agribusinesses as a means of tackling food insecurity.

WFP quietly began working on World Food Invest in 2024. A separate legal entity from WFP, the vision is an independent, **\$500 million** fund sponsored by the agency, owned by investors, and managed by an external fund manager, which is yet to be hired. The fund hopes to launch later this year and will run until 2035.

The expectation is that philanthropic foundations, development finance institutions, and the private sector will contribute to the fund. Money will be disbursed as concessional loans or equity of between \$500,000 to \$10 million to food storage companies, processing plants, food transport firms, or fortification factories, supporting their expansion. WFP is working with development finance institutions to generate the initial capital that it hopes will mitigate risk and attract commercial investment.

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Growth in agriculture-related businesses should help to secure food supply chains, especially in remote and hard-to-reach areas of Africa, said Richard Wilcox, who leads the initiative and is the director of private partnerships at WFP.

Virtually all of WFP's operations, he added, especially in Africa, are linked to local business, from the rice growers whose products make up food aid packages to the transport companies that deliver them for distribution.

"The African private sector in particular that we deal with has tremendous potential to grow, but it has investment requirements that are just not being met because local banks have a certain risk appetite,"

said Wilcox, adding that the financing gap for small and medium-sized enterprises, or SMEs, in sub-Saharan Africa is [\\$331 billion](#).

A \$65 billion annual food import bill

Over [87 million people](#) are going hungry in eastern and southern Africa, with 52 million estimated to go hungry by midyear in West and Central Africa. Mostly to blame are conflict, including the most recent war in the Middle East, and climate change — as it destroys crops and disrupts supply chains.

Meanwhile, Africa imports over [80%](#) of its food at an annual cost of at least [\\$65 billion](#) and growing. Yet it is home to [60%](#) of the world's arable, uncultivated land.

Investing in local production — particularly the growth of existing companies that produce [fertilizer](#), [deliver modern farming technology](#), or [deploy climate-smart agriculture solutions](#) — would make the region more self-sufficient.

World Food Invest comes at a time when official development assistance is sharply declining, and governments that have long relied on foreign funds are struggling to stand on their own two feet. That also means the private sector has a bigger role to play in stabilizing food systems and economies.

WFP itself has increased the investment it receives from the private sector by [200%](#) since 2020. It has been a hallmark of Cindy McCain's leadership: Since taking the helm in 2023, she has continually [emphasized](#) the need for diversified funding as political turbulence usurps member states' financing.

But in order for the private sector to invest, it has to have “bankable” opportunities. When it comes to SMEs, [analysis](#) by the [International Food Policy Research Institute](#) shows there is high potential for job creation, income generation, and hunger reduction.

Initiatives that create greater visibility for such opportunities are very valuable, said Samuel Ledermann, a professor who specializes in African agricultural development at the Elliott School of International Affairs at [George Washington University](#). “The reality is any way we can leverage private investments is at least good, especially nowadays to close gaps that have emerged from public funding,” he said.

World Food Invest would create that visibility, Wilcox said. Some experts praised the idea at a time when development funding is sparse. Others questioned whether the agency is veering from its humanitarian mandate.

Past relationships, future growth

What makes World Food Invest unique, said Wilcox, is WFP's status as the largest aid organization and its existing interactions with the private sector.

This has allowed it to curate a list of over 450 SMEs with investment requirements and that have gone through WFP due diligence and risk assessment, which it can pass to the fund manager as an initial pipeline to consider, he said. WFP will provide these SMEs with grant-funded technical assistance to improve their investability.

“The fundamental idea ... is that WFP has had this hidden asset that we've had for a very long time, but we've never thought to leverage it into the investment space,” said Wilcox. Doing business with WFP gives these businesses a “seal of approval,” making it more likely for the investors to loan to them.

The investors and partners will jointly decide on an impact and monitoring framework to track their investments.

WFP is “a very credible connector in terms of identifying these high potential demanders of finance,” said Steven Were Omamo, director of the development strategies and governance unit and director for Africa at IFPRI. “It's a great idea. It's very timely, and it has high potential because of the role that WFP is looking to play, and has been playing.”

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The impetus

While the current funding landscape has helped to accelerate the fund — WFP's 2026 funding is [expected to be half](#) of what's needed to meet the current need — Wilcox said the idea first came to him in 2017 with

the recognition that there is capital available to address Africa’s needs. It just requires a return, which can be unreliable in agriculture.

Initiatives such as [The Food and Land Use Coalition](#) have long [called for](#) “investors to unlock billions in responsible finance” that could mobilize small businesses to fill the gaps. [Only 3%](#) of global development funding is directed toward Africa’s agriculture sector, even though improving productivity in the sector would have an outsized impact on the continent’s development progress, according to the [Boston Consulting Group](#).

Other initiatives are trying to enable that. [The Food Systems Transformation Accelerator](#) aims to support businesses and governments working to improve food systems with financing; the [Global Agriculture and Food Security Program](#) uses blended finance to fund projects that support smallholder farmers and agribusinesses in low-income countries; and [AgriFI](#) is a [European Union](#)-funded blending facility that uses public and private capital to offer small agribusinesses credit lines and equity investments.

The right role for WFP?

But not everyone thinks WFP should be channeling its resources into impact investing.

“We need WFP to focus on humanitarian response, where it’s arguably the best in the world, and instead, they are ... diverting a bunch of managerial and technical attention to addressing things that are not really in their core competency set,” said Christopher B. Barrett, professor of agriculture and economics at [Cornell University](#).

WFP is not creating a new unit for this initiative, said Wilcox, but building on existing WFP capabilities that already work with agrifood SMEs via country programs.

Drew Elliott, managing director of Canadian-Ghanaian agribusiness CanPro AgroParks, a WFP partner, believes something like World Food Invest is “exactly what’s needed in today’s global food system.”

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“Programs like this recognize that food security is not only a humanitarian issue, but an economic, climate, and development challenge that requires scalable, investable solutions alongside aid,” he [wrote](#) on LinkedIn, adding that CanPro AgroParks would support World Food Invest.

Meanwhile, Barrett said he wouldn’t be recommending anyone in his network to contribute to the fund, highlighting WFP’s 2008–2013 Purchase for Progress pilot, which he called unsuccessful.

“They hardly have any track record in this area that anyone would really want to brag about ... [WFP] won a Nobel Peace Prize not because it’s good at raising funding for private sector investments in value chains, but because it’s exceptionally good at ensuring that people don’t starve,” he said.

Purchase for Progress, which had [mixed results](#), was an effort to strengthen local markets in 20 countries through WFP’s procurement processes. Since then, blended finance has evolved — and World Food Invest reflects that, said Wilcox.

“It will separate grant-funded technical support from independent investment decisions, embed professional fund management, and align humanitarian insight with private capital rather than substituting for it,” he said.

World Food Invest could help reduce Africa’s humanitarian need and, if successful, it could be emulated in Latin America and Asia.

The hope, said Wilcox, is that in just under a decade the result will be greater employment and resilience “because growers have benefited from market access provided by that middle that has grown because of the provision of the working capital and expansion ... And the continent actually will have much more stable food value chains than it has now.”

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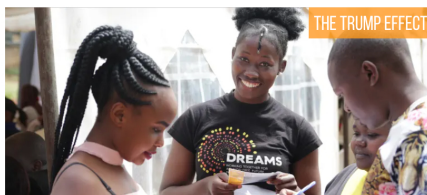
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